

Chapter X

Regulatory Restrictions and Limits

91. Credit/investment concentration Norms (except NBFC-UL)

91.1 NBFC(except NBFC-IFC) shall not have exposure (credit/investment taken together) exceeding

(a) twenty-five percent of its Tier 1 capital to a single party; and

(b) forty percent of its Tier 1 capital to a single group of parties,

Provided that an NBFC may exceed the exposure norm specified above, by 5 percent for any single party and by 10 percent for a single group of parties, if the additional exposure is on account of infrastructure loan and/or investment.

91.2 NBFC-IFC shall not have exposure (credit/investment taken together) exceeding

(a) thirty percent of its Tier 1 capital to a single party; and

(b) fifty percent of its Tier 1 capital to a single group of parties.

91.3 The ceiling on the investment in shares of another company shall not be applicable to an NBFC in respect of investment in the equity capital of an insurance company up to the extent specifically permitted, in writing, by the Reserve Bank.

91.4 Exposure norms shall not apply to any NBFC not accessing public funds in India, either directly or indirectly and not issuing guarantees.

91.5 Exposure norms shall not apply to

(i) investments of NBFC in shares of

(a) its subsidiaries;

(b) companies in the same group,

to the extent they have been reduced from Owned Funds for the calculation of NOF and

(ii) the book value of debentures, bonds, outstanding loans and advances (including hire-purchase and lease finance) made to, and deposits with -

(a) subsidiaries of the NBFC; and

(b) companies in the same group,

to the extent they have been reduced from Owned Funds for the calculation of NOF.

91.6 NBFC shall formulate a policy in respect of exposures to a single party/a single group of parties.

91.7 Government NBFCs set up to serve specific sectors may approach the Reserve Bank for exemptions, if any.

Notes:

1. For determining the limits, off-balance sheet exposures shall be converted into credit risk by applying the conversion factors, as explained in [paragraph 85](#) of these Directions.

2. These ceilings shall be applicable to the exposure by an NBFC to companies/firms/entities in its own group as well as to the borrowers/investee entity's group.

3. (i) In case of factoring on "with-recourse" basis, the exposure shall be reckoned on the assignor.

(ii) In case of factoring on "without-recourse" basis, the exposure shall be reckoned on the debtor, irrespective of credit risk cover/ protection provided, except in cases of international factoring where the entire credit risk has been assumed by the import factor.

92. Sensitive Sector Exposure (SSE)

Exposure to capital market (direct and indirect) and commercial real estate³⁰ shall be reckoned as sensitive exposure for NBFCs. NBFCs shall fix Board-approved internal limits for SSE separately for capital market and commercial real estate exposures. Dynamic vulnerability assessments of various sectors and their likely impact on business, as evaluated periodically, should help NBFCs determine such internal exposure limits. While the Board is free to determine various sub-limits within the overall SSE internal limits, the following are specifically prescribed:

(i) A sub-limit within the commercial real estate exposure ceiling shall be fixed internally for financing land acquisition.

(ii) Ceiling on IPO Funding as mentioned at [paragraph 34](#) of these Directions.

93. Regulatory restrictions on loans

For the purpose of this paragraph, the term "control" shall have the meaning assigned to it under clause (27) of section 2 of the Companies Act, 2013.

³⁰ Sensitive Sector Exposure as enumerated in [paragraph 3.5](#) of **Annex XXII** of these Directions.

93.1 Loans and advances to Directors

Unless sanctioned by the Board of Directors/Committee of Directors, NBFCs shall not grant loans and advances aggregating Rupees five crores and above to-

- (i) their directors (including the Chairman/Managing Director) or relatives of directors.
- (ii) any firm in which any of their directors or their relatives is interested as a partner, manager, employee or guarantor.
- (iii) any company in which any of their directors, or their relatives is interested as a major shareholder, director, manager, employee or guarantor.

Provided that a director or her relatives shall be deemed to be interested in a company, being the subsidiary or holding company, if she is a major shareholder or is in control of the respective holding or subsidiary company.

Provided that the director who is directly or indirectly concerned or interested in any proposal should disclose the nature of her interest to the Board when any such proposal is discussed. She should recuse herself from the meeting unless her presence is required by the other directors for the purpose of eliciting information and the director so required to be present shall not vote on any such proposal.

The proposals for credit facilities of an amount less than Rupees five crore to these borrowers may be sanctioned by the appropriate authority in the NBFC under powers vested in such authority, but the matter should be reported to the Board.

93.2 Loans and advances to Senior Officers of the NBFC

NBFCs shall abide by the following when granting loans and advances to their senior officers

- (i) Loans and advances sanctioned to senior officers of the NBFC shall be reported to the Board.
- (ii) No senior officer or any Committee comprising, inter alia, a senior officer as member, shall, while exercising powers of sanction of any credit facility, sanction any credit facility to a relative of that senior officer. Such a facility shall be sanctioned by the next higher sanctioning authority under the delegation of powers.

93.3 Loans and advances to Real Estate Sector

While appraising loan proposals involving real estate, NBFCs shall ensure that the borrowers have obtained prior permission from Government/ local Government/other

statutory authorities for the project, wherever required. To ensure that the loan approval process is not hampered on account of this, while the proposals may be sanctioned in normal course, the disbursements shall be made only after the borrower has obtained requisite clearances from the Government/ their statutory authorities.

93.4 In respect of grant of loans mentioned at paragraph 93.1 and 93.2 above –

(i) NBFCs shall obtain a declaration from the borrower giving details of the relationship of the borrower to their directors/senior officers for loans and advances aggregating Rupees five crore and above. NBFCs shall recall the loan if it comes to their knowledge that the borrower has given a false declaration.

(ii) These guidelines shall be duly brought to the notice of all directors and placed before the NBFC's Board of Directors.

(iii) NBFCs shall disclose in their Annual Financial Statement, aggregate amount of such sanctioned loans and advances as per template provided in the [Annex XI](#).

93.5 The above norms as mentioned at paragraphs 93.1, 93.2 and 93.4 relating to grant of loans and advances will equally apply to awarding of contracts.

Explanation: The term 'loans and advances' will not include loans or advances against -

(i) Government securities

(ii) Life insurance policies

(iii) Fixed deposits

(iv) Stocks and shares

(v) Housing loans, car advances, etc. granted to an employee of the NBFC under any scheme applicable generally to employees.

Provided that NBFC's interest/ lien is appropriately marked with legal enforceability.